

Amendment No. 1 to SB0865

Bailey
Signature of Sponsor

AMEND Senate Bill No. 865

House Bill No. 705*

by deleting all language after the enacting clause and substituting:

SECTION 1. Tennessee Code Annotated, Title 56, Chapter 7, Part 23, is amended by adding the following as a new section:

(a) Except as provided in subsection (b), a group policy delivered or issued for delivery in this state that provides hospital, surgical, or major medical expense insurance, or any combination of these coverages, on an expense incurred basis, but not a policy that provides benefits for specific diseases or for accidental injuries only, must provide that an employee or member whose insurance under the group policy has been terminated for any reason, except discontinuance of the group policy in its entirety or with respect to an insured class, and who has been continuously insured under the group policy, and under any group policy providing similar benefits that it replaces, for at least three (3) months immediately prior to termination, is entitled to have the coverage nonetheless continued under the group policy for the remainder of the month in which the policy is terminated, plus the next three (3) subsequent months upon payment in advance to the employer of the full group policy premium for this continuation of coverage, including any portion of the premium customarily paid by the employer on or before the beginning of each month's coverage.

(b) An employee or member is not entitled to have coverage continued pursuant to subsection (a) if:

(1) The group policy was terminated in its entirety or was terminated with respect to an insured class of which the employee was a member; or

(2) Termination of the employee's insurance under the group policy occurred because of any of the following reasons:

(A) The employee failed to pay any required contribution;

(B) The employee is eligible for medicare under Title XVIII of the federal Social Security Act (42 U.S.C. § 1395 et seq.); or

(C) The discontinued group coverage was replaced by similar group coverage within thirty-one (31) days.

(c) This section applies to group policies issued, renewed, or amended on or after the effective date of this act.

SECTION 2. This act takes effect upon becoming a law, the public welfare requiring it.